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Spotify

It was early November 2014. Spotify's chief content officer Ken Parks took a moment to absorb the news he had just heard: record label Big Machine Records had requested the immediate removal of superstar artist Taylor Swift's entire catalogue from Spotify's popular music streaming service. Not only would Spotify's users miss out on her latest album *1989*, released a few days earlier and already topping sales charts, but they would also not find any of her other music on the service.

With 50 million active users and 12.5 million paying subscribers in 58 countries, Spotify had emerged as the world's preeminent music streaming service. Launched in 2008 in Sweden and led by co-founder and chief executive officer Daniel Ek, Spotify offered its users the ability to listen on demand to a library of 30 million songs, either free or for a monthly subscription fee of \$9.99 which gave users added functionality (among other advantages, they did not have to listen to advertisements and could download music for offline playing). The rapidly growing service was causing a revolution in the music industry. The singer-songwriters Ed Sheeran and Hozier were two examples of stars that had found massive audiences in large part because of Spotify.

However, not all artists and label executives were convinced of the value of streaming services. A few high-profile artists to date refused to have their music be made available on Spotify, or insisted on windowing strategies that forced users to wait weeks or months before they could find new albums and songs on the service.

Swift and Big Machine Records' decision now brought that issue to the forefront. Catalogue takedowns were rare events. Big Machine Records had earlier asked Spotify whether it was possible to offer Swift's new album only to paid subscribers, and whether the album could be withheld from users in the United States. Spotify's executives had denied both requests.¹ Now, Parks had no choice but to comply with the takedown request, but he did have other decisions to make.

Was it time to reconsider Spotify's insistence on offering the same assortment across countries and not allowing artists to target only premium tiers? Would the takedown request lead to other artists considering a defection from the service, and if so, what could Spotify's executives do to prevent others from leaving? And, as it was only a matter of time before the news would be common knowledge among both music-industry insiders and fans, how should Spotify respond in the public domain?

The Music Industry in 2014

The market for recorded music was expected to generate \$15 billion in revenues globally in 2014, roughly the same as in 2013 but slightly down from earlier years.² The advent of digital distribution

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was strongly affecting the market: for the first time, revenues coming from digital channels were expected to rival sales in a physical format (see **Exhibit 1** for general music industry data).³

Making Records

Most artists recorded music while under contract with a record label. When they signed artists, usually for multiple years and multiple albums, labels typically paid them a monetary advance that was intended to cover their living expenses and other costs. The label also agreed to manufacture, distribute, and promote their music. In return for their efforts, the labels usually owned the copyright of their artists' records as well as the master copies of those records. They paid artists a royalty on sales—most contracts stipulated a royalty rate of around 15% for new artists and around 20% for superstar artists—but only once labels had recouped the advance they had paid out to the artist and had covered any related overhead costs.

After years of consolidation, three record labels (the 'majors') dominated the recorded-music industry: Universal Music Group, Sony Music Entertainment, and Warner Music Group collectively were responsible for over 80% of recorded-music sales in the U.S.; smaller, independent labels (or 'indies') together made up the remainder. The lines between the two types of labels were increasingly blurry, however, for instance because 'independent' labels increasingly entered into distribution agreements with major labels that gave the independent labels (in exchange for a fee) access to the majors' vast resources and strong network in music. Big Machine Records, founded in 2005 by Scott Borchetta and based in Nashville, Tennessee, fell in this category. An independent label with a small roster of country and pop acts that included Tim McGraw, Rascal Flatts and Taylor Swift, it had a distribution deal with Universal Music Group.

Selling Records

Physical sales and downloads. For decades, recorded music had primarily been sold in a physical format, first as LPs and cassettes and now mostly as CDs. In the U.S., revenues from physical sales only accounted for a third of total annual revenues of \$6 billion (see **Exhibit 2**). CDs were sold through mass merchants such as Target and Walmart, online retailers such as Amazon, and a large variety of other retailers that included both specialized stores and non-traditional outlets such as coffee chain Starbucks. Physical albums, usually containing a dozen or so songs, retailed for around \$15.

The pioneering file-sharing service Napster, launched in 1999, became a fertile ground for the illegal exchange of recorded music on the internet. At its peak, the service had sixty million registered users. Through the Recording Industry Association of America (RIAA), the record labels responded by suing Napster, which led to the closing of the service in 2001, as well as suing thousands of individuals for copyright infringement.⁴ A variety of other file-sharing services sprung up in the aftermath.

Since the early 2000s, legal digital downloads had quickly gained ground after Apple launched The iTunes Store and offered individual songs, first for \$0.99 and later in three price tiers, \$0.69, \$0.99, and \$1.29. By 2008, iTunes had surpassed Walmart as the largest music retailer in the U.S. and by 2014 it had well over half of the market for paid downloads.⁵ Amazon was also a strong player in this market. The retailers typically kept 30% of the revenues generated by paid downloads, giving the label the remaining 70% (which it subsequently shared with its artists).

An estimated 45 million Americans bought music online by the early 2010s. These customers averaged an annual spend of around \$50 worth of songs and albums. Close to 80 million people continued to buy CDs.⁶ Piracy remained a major force, too: leading file-sharing site BitTorrent was on track to facilitate four billion music downloads—the lion's share of which were illegal—in 2014.⁷ Despite the changes in the music landscape, free terrestrial radio continued to be the dominant way in which people discovered recorded music.⁸ Because airplay was thought to be a key driver of sales, radio was a major focus in record labels' promotional efforts for new songs and albums.

Streaming. Listening to music via digital channels without taking ownership of the audio files, or 'streaming,' had grown most rapidly in recent years (also see **Exhibit 2**). "People's listening habits

have changed—and they are not going to change back,” said Ek about the move away from music buying.⁹ By late 2014, consumers could choose between several music-streaming services.

Internet radio services offered users a selection of songs, curated by humans (in the form of lists designed for specific moods or activities, for instance), computers (through all kinds of filtering mechanisms), or both. **Pandora**, the most popular service in this category with over 75 million active listeners,¹⁰ organized its library based on a large number of song characteristics, and used algorithms to find songs that were alike. If, say, a user indicated she liked Ed Sheeran, then Pandora would play a mix of Sheeran songs and songs that, according to its analytics, were similar. Users could also provide feedback by liking or disliking songs that were played, which Pandora used to adjust its future song selections. Users could not request specific songs, but they did have the option to skip to the next song a few times each hour. The service was available in two versions: a free option with ads and a \$4.99-a-month paid option without ads.

Video sites such as YouTube and Vevo were also important destinations for people looking to stream music. Via **YouTube**, a video site owned by online search giant Google that had a billion users and \$4 billion in annual revenues but reportedly no profits,¹¹ users could freely access a plethora of music and other videos uploaded by rights holders and other users. When rights holders uploaded content, they received a share of the advertising revenues generated by their music videos. When users uploaded videos and YouTube’s Content ID system detected a link with copyrighted content, rights holders had the choice either to ask for the video to be taken down or to participate in the advertising revenues generated by that video. YouTube frequently employed skippable ads which viewers could click away after a few seconds; advertisers only paid for those ads that were watched from beginning to end. Estimates of how much YouTube paid out to rights holders varied wildly, but some insiders believed YouTube kept roughly half of the advertising revenues for itself,¹² and thought YouTube paid anywhere from \$0.60 to \$2 per 1,000 views.¹³

Vevo, a joint venture of Universal Music Group, Sony Music Entertainment, Google, and Abu Dhabi Media, hosted music videos from Universal and Sony on its own site and syndicated those videos (‘watermarked’ with its logo) across the internet—including on YouTube. Vevo and Google shared the advertising revenues. Many high-profile artists, including Taylor Swift, had their own Vevo channels on which they posted their videos. Those videos were among the most popular on the site; Vevo’s content was thought to account for a substantial share of YouTube’s total views.

A range of on-demand streaming services offered users the ability to play any song from a library of around 30 million songs: Beats Music, Deezer, Google Play Music, Rdio, Rhapsody—and Spotify:

- Owned by Beats Electronics, a company founded by hip-hop artist Andre ‘Dr. Dre’ Young and record-label executive Jimmy Iovine, **Beats Music** charged users \$9.99 per month (there was no free version) and was estimated to have around 250,000 paid subscribers in May 2014, four months after its launch. Consumer Electronics giant Apple had bought Beats Electronics in May 2014 for \$3 billion, and was expected to significantly alter and relaunch the streaming service sometime in 2015.¹⁴
- **Deezer**, the second most popular streaming-music subscription service after Spotify, had around 16 million active users and 5 million paying subscribers. Founded in France in 2007, Deezer was available in 182 countries and had just entered the U.S. market.¹⁵ Deezer was available in a free version with ads, a \$9.99-a-month ‘premium plus’ version without ads, and an elite option that cost \$19.99 per month and streamed music at a quality level equivalent to that of CDs.
- **Google Play Music**, launched in 2011 and owned by Google, came pre-installed with every Android smartphone. An ‘All Access’ subscription cost \$9.99 per month, after a one-month free trial. Google did not disclose the number of users.
- Said to have in the millions of users,¹⁶ **Rdio** came in several versions. Rdio Web, a web-only version, allowed unlimited streaming via a browser for free with ads, and for \$4.99 per month without ads. Rdio Unlimited enabled streaming to smart phones as well as offline listening for \$9.99 per month.

- **Rhapsody**, established in 2001 and the oldest paid music-streaming site, also offered multiple tiers, including a \$4.99-per-month advertising-free radio version, a \$9.99-per-month on-demand version, and a \$14.99-per-month family plan. Rhapsody had just under two million subscribers.¹⁷

Spotify

History: A Swedish Startup Conquers the World

Spotify was founded in Stockholm, Sweden, in 2006 by Daniel Ek and Martin Lorentzon, both serial entrepreneurs. At the time, the Swedish music industry was struggling: piracy was rampant and recorded-music sales were spiraling downwards. Ek and Lorentzon set out to reverse the industry's fortunes. By October 2008, the company had secured licensing agreements with some of the world's biggest music rights holders, including all three major labels, and launched its streaming service in Sweden.

Ek, who previously had briefly been the chief executive officer of uTorrent, which made money in part by monetizing pirated music and movies on BitTorrent, described he was driven by a simple question—"How do we create a better product than piracy?"—when developing Spotify. "It came back to me constantly that Napster was such an amazing consumer experience, and I wanted to see if it could be a viable business," he added. "It's not like people want to be pirates. They just want a great experience. So we started sketching what that would look like." His "product vision" was that the service had to make music readily available, without even a second delay, as if it was stored on a user's computer. "What would it feel like? That was the emotion we were trying to invoke."¹⁸

Securing music licenses was a time-consuming task, involving negotiations with all the different copyright holders. "Daniel thought he could just go down to the corner store in Stockholm and pick up a global license," remembered Parks. He noted the labels received them with skepticism: "We needed to overcome the music-is-free mentality that Spotify represented. If you have something you've invested a ton of money in, and you've been selling it for a lot... —to say to that person, 'The only way to beat this is to co-opt the people who are stealing from you,' that was a challenge." Ek recalled: "If anyone had told me going into this that it would be three years of crashing my head against the wall, I wouldn't have done it."¹⁹

Once it was up and running, the service grew fast. By the time Spotify launched in the U.S. in July 2011, it had over 10 million registered users, more than 1.6 million paying subscribers, and was valued at close to \$1 billion. Spotify kept adding new markets: it was operating in 17 countries by November 2012, had launched in eight more by April 2013, and had added another 20 in December 2013.²⁰

By early November 2014, it had 12.5 million paying subscribers and 50 million active users in 58 countries. Spotify generated close to €750 million in revenues in 2013, up from €430 million in 2012, and reported net losses of just under €100 million in 2013 (see **Exhibit 3** for financial information). Ek, still only 31 years of age, and Lorentzon had held on to significant ownership stakes in the company. Spotify's shareholder base was also comprised of investment funds, prominent private investors, and music companies. Although exact shares were never publicly disclosed, the three major record labels—Universal, Sony, and Warner—were widely thought to collectively hold an equity stake of 15% to 20% in Spotify.²¹

The Service

Spotify enabled users to stream music on their desktop computers, tablets and smartphones. After they registered for the service (with an email address or their Facebook account), users could browse through a library of 30 millions songs from artists all across the globe. Users could search for individual songs, curate their own 'playlists' (i.e. collection of songs), or listen to one of the many playlists Spotify had curated (e.g., 'Hip Hop Hits,' 'Salsa Nation,' 'Throwback Jams,' and 'United States Top 50'). Users could save any song to a playlist they created, and those playlists were easily accessible on the service's

desktop and mobile applications. They could click on a playlist and listen to all songs on that list (in 'shuffle' mode, meaning in random order) or select any individual song, making the experience truly on demand. Users could follow artists, friends, or music tastemakers—some people had millions of followers. Each user could share songs with their network of followers, and keep track of what songs the people they followed listened to. A radio function further helped them discover music they might like based on their listening history (see **Exhibit 4** for select impressions).

"We've made it easier for people to listen, and we've made it easier for them to share," said Ek, pointing out that as a result, "people tend to get more into the experience, and they tend to find new music and build larger collections that they want to take with them." He added: "It ought to be as simple as pressing play and it works. And ultimately when you get to that point, that's when people are prepared to pay. People are prepared to pay for convenience."²² Ek sought to use the vast data on user behavior and song analytics to better program what he called the "moments" of a user's day, selecting the right songs for certain activities or moods, and tailoring playlists to an individual user's "taste profile."²³

In addition to offering licensed music content, Spotify also developed its own content. When artists visited its offices or other venues it hosted, the company would often record performances and made them available to users under the 'Spotify Sessions' banner. Spotify also produced documentary-like pieces in audio, video, and written form on some of music history's most illustrious artists, in a series called 'Spotify Landmark.' For instance, Spotify offered a Landmark special on Nas' breakthrough record *Illmatic*, widely believed to have changed the course of hip hop two decades ago, which included interviews with Nas and his collaborators.

Business Model

Two tiers. Spotify offered its service in two versions: a \$9.99-a-month premium option that gave users the full spectrum of options, and a free version in which music listening was periodically interrupted by ads and that had a small set of other limitations. In the first few years, the free version was a desktop-only service. But as technology evolved and tablets and smart phones became more prevalent, Spotify launched a free mobile app as well. The free version limited users' ability to select individual songs they wanted to listen to on their mobile phones—users without a paid subscription could listen to their playlists on their phones but not select which songs from those playlists were played and in what order. The free version also did not make it possible for users to download songs to their devices for offline listening, which was an important feature of the \$9.99-a-month version.

"Any content you restrict on your free service is going to be all over those places where no one pays for content—like piracy," noted Spotify's head of communications. "We believe that our free tier is a critical element to driving subscriber growth." He described paid subscriptions as "key to bringing the industry back to health," noting that "the free 'funnel'" was needed to drive those subscriptions."²⁴

Revenue sharing. Spotify earned revenues through subscriptions and advertising (see **Exhibit 3** for the breakdown). Advertisers could choose from a number of different formats, covering both audio and video ads. A 'sponsored session' format, for instance, allowed advertisers to offer users thirty minutes of uninterrupted music after they watched or listened to an ad. Advertisers could also set up their own page and include videos, clickable images, links, and other information.

Each month, Spotify paid out around 70% of its revenues to rights holders. The terms of these revenue sharing agreements were set through licensing deals that were up for renegotiation every few years. A '70/30' split had become industry standard for digital channels—it was similar to the agreement in place between Apple's iTunes Store and rights holders. Spotify's exact deal terms with rights holders were not disclosed, however—all parties were bound by non-disclosure agreements.

Each rights holder received a share of revenues that was proportional to their artist's (or artists') popularity on the service, measured by an artist's streams as a percentage of the total streams on Spotify. To put it simply, if Big Machine Records' artists together accounted for 5% of all streams on Spotify in a given month, and if it held the rights to the master recordings as well as the publishing

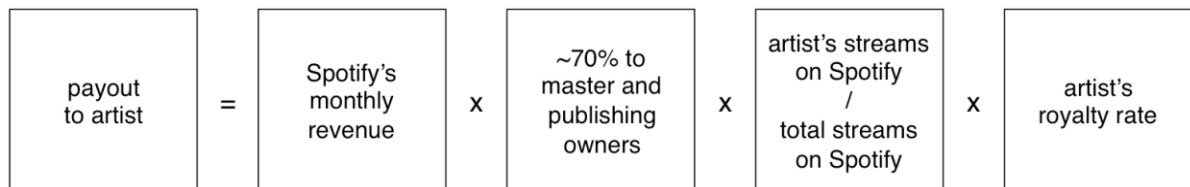
rights for those artists, it would receive 5% of the roughly 70% of its revenues that Spotify paid out that month. Spotify calculated these shares by country – for instance, if a rights holder’s artist was especially popular in a country in which Spotify had a relatively high rate of paid subscribers, or in a country in which Spotify was able to generate high advertising revenues, that rights holder could expect a higher payment than the total worldwide streams might suggest.

Spotify reported average “per stream” payouts to rights holders of between \$0.006 and \$0.008. In addition, Spotify disclosed that in 2013, monthly royalties varied from \$3,000 for a niche indie album and just under \$80,000 for a breakthrough indie album to around \$150,000 for a Spotify top ten album and over \$400,000 for a global hit album.²⁵ Spotify claimed it had paid out \$2 billion in total royalties, and a projected \$1 billion in 2014 alone.²⁶

The exact payout to each artist in turn depended on that artist’s royalty agreement with its label or with other rights holders. Most artists could expect to receive between 15% and 20% of the sum Spotify had paid out to the rights holders (only artists who were fully independent and owned all the rights to their music received 100% of Spotify’s payout). In practice, Spotify paid the major labels lump sums for the entire market share of their catalogues each month. Spotify shared detailed streaming data with the labels about the artists on their rosters, but the labels ultimately decided what information to share with those artists, and thereby also how to distribute royalty payments across artists.²⁷

Figure A summarizes the factors that together determined an artist’s payout.²⁸

Figure A Spotify’s Royalty Formula



Source: Spotify.com.²⁹

In addition to their share of the royalty payments, the labels received other benefits, including advances (Sony, for instance, was thought to have received \$25 million over two years in advances alone³⁰), catalog service payments, and any gains following from their equity stakes in the service. They typically did not pass those benefits on to the artists on their rosters.³¹ The labels renegotiated their contracts with Spotify every two to three years.³²

Spotify’s Relationships with Labels and Artists

Parks oversaw a team tasked with managing the relationships between all stakeholders who were responsible for creating and distributing content – the artists, their managers, their record labels, and their publishers. (The publisher represented the creator of a song, and the record label represented the recording artist and recorded version of that song.) Parks’ group counted several divisions, including a ‘Label Relations’ team, an ‘Artist Services’ team, and an ‘Artist Marketing and Original Content’ team.

Working with Labels

The Label Relations team was the first to learn if and how labels were planning to make their artists’ music available on Spotify. Some rights holders and acts, including Radiohead’s Thom Yorke and the band the Black Keys, had refused to distribute their music on the platform altogether. Others favored

so-called 'windowing' whereby music was excluded from one or more streaming services for a certain period after the launch of a record in the hopes of maximizing sales in the first few weeks. But by early November 2014, the vast majority of new music was offered on Spotify the same date as it went on sale elsewhere—a practice known in the industry as 'day-and-date releasing.' In some cases, labels and artists went one step further, and chose to launch a single or album exclusively on Spotify first before pursuing other, more traditional channels.

The Label Relations team often worked directly with label executives to plan creative release strategies for their artists. The team even worked with labels to select artists to enter into special partnerships with, acting as a modern version of the 'A&R' (Artist & Repertoire) function of scouting for talent that the record labels were traditionally known for, and introducing those artists to the Spotify user base.

Working with Artists

The Artist Services team was dedicated to educating artists on how Spotify worked, and what benefits it could offer them. Ek acknowledged that the transition from a transaction model to a streaming model could be challenging for artists. "This is the single biggest shift since the beginning of recorded music, so it's not surprising that it takes time to educate artists about what this future means," he said. Spotify faced accusations in the press that it did not pay artists enough, with one in-depth article describing an example of an artist making less than \$200 in royalties over a period of eighteen months despite generating 600,000 Spotify streams.³³

The Artist Marketing team, in turn, pursued partnerships with artists, booked them for proprietary Spotify events at music festivals and conferences, and developed original content with them. The team also helped put together creative campaigns for artists, securing 'homepage takeovers' to advertise a release to Spotify users, program an artist's song on a popular playlist, or use other tools to increase visibility and streams.

Ed Sheeran. One artist Spotify had helped with finding an audience was Ed Sheeran, a singer-songwriter and guitarist from Suffolk, England. He began his career by releasing an independent short album, *The Orange Room EP*, in 2005 and playing small venues in and around London. He subsequently signed a deal with Asylum/Atlantic Records, which released his first studio album, titled *+*, in 2011. In the next few years, Sheeran's status steadily rose. When Sheeran was ready to release his second studio album, *X*, in June 2014, Spotify came to his aid, making a lot of his music available ahead of the traditional album launch and promoting those songs on to its users.

The album hit it big, debuting at number one on the Billboard Top 200 album chart, and the single *Don't*, an important focus of Spotify's campaign, was on its way to become one of the year's best-selling songs. Sheeran acknowledged he "owed his career to Spotify," and added: "My music has been streamed 860 million times, which means that it's getting out to people. I'm playing sold-out gigs in South America, I've sold out arenas in Korea and South-East Asia. I don't think I'd be able to do that without Spotify." Sheeran was on track to become Spotify's most streamed artist in 2014, with a projected 860 million streams in one year, and had generated more than a billion streams in total.³⁴

Hozier. Andrew Hozier-Byrne, an Irish singer-songwriter known as Hozier, also credited Spotify with his ascent in the music industry. When Spotify user engagement for his single *Take Me To Church*, released in September 2013, was unusually strong, Spotify's executives placed the spotlight on him by naming him one of the 'Artists to Watch' for 2014, featured him heavily on its Spotify-curated playlists, and asked him to perform at the Spotify House at the SXSW festival in March 2014.³⁵ By the time Hozier released his first, self-titled album in September 2014, his name was much more established. *Take Me To Church*, now a genuine hit, had been streamed more than 40 million times on Spotify.³⁶

One Artist Defects

Taylor Swift and Big Machine Records Take Action

In early November 2014, Taylor Swift was arguably one of the world's biggest pop stars. Ten years earlier, the then fourteen-year-old singer-songwriter from Pennsylvania had moved to Nashville, Tennessee to pursue a career in country music. She signed with new label Big Machine Records after its founder Scott Borchetta had seen her perform live, reportedly acquiring a small equity stake in the process (Borchetta himself owned 60% of the label).³⁷ Swift released her first, self-titled studio album in October 2006. It sold six million copies. *Fearless*, which followed in 2008, beat those statistics, selling 8.7 million copies worldwide, and winning her four Grammy awards. *Speak Now*, her third studio album and one that she wrote entirely by herself, sold over a million copies in its first week on release in the U.S. alone. *Red*, her fourth album, surpassed that mark in 2012 and in fact set the record for the highest-grossing opening week for an album in a decade. It went on to sell six million copies worldwide (see **Exhibit 5**).³⁸

Swift was popular on Spotify, too: she had close to two million active followers on the service. According to Ek, she was on track to make \$6 million from Spotify alone in 2014 – that is, Spotify paid Universal half a million dollars for her music each month.³⁹ Furthermore, Swift was known for fostering a close connection with her fans and followers, known as 'Swifties,' through Facebook (where she had over 70 million fans), Instagram, Twitter and other social media.

Now, Swift had just released her fifth album, named for her birth year 1989, on October 27. Anticipation for the record—less country and more pop than any of her previous albums—started building in August 2014 with the launch of the lead single *Shake It Off*. By early November, the song remained at the top of the Billboard Hot 100 chart, while second single *Blank Space* was due to be released soon. Throughout this period, executives from Swift's label Big Machine were in discussions with Spotify. *Shake It Off*, released on Spotify in September 2014, performed strongly on the service, just as it did on YouTube through Vevo.

Swift's previous albums had arrived at Spotify after a window of a few weeks or more. Big Machine Records was hoping to come to an agreement with Spotify on two aspects of the 1989 album launch: they wanted the album to be made available only to paid subscribers (at least initially), and they wanted to release it outside the U.S. only.⁴⁰ The focus on paid subscribers was in line with an opinion Swift herself had expressed in a piece she wrote for the *Wall Street Journal* in July 2014, in which she stated: "It's my opinion that music should not be free, and my prediction is that individual artists and their labels will some day decide what an album's price point is."⁴¹ Preventing Spotify from offering the album to users in the U.S. seemed aimed at protecting album sales in Swift's home market. "Piracy, file sharing and streaming have shrunk the numbers of paid album sales drastically, and every artist has handled this blow differently," Swift wrote.

Both requests, however, clashed with Spotify's policies: Spotify traditionally did not allow rights holders to pick and choose markets their content was released in, and it did not allow the labels to forgo the free tier. After Big Machine Records learned that Spotify could not comply with the two requests, the label—during 1989's first week on sale—issued an order to take down Swift's entire catalogue.

How Should Spotify Respond?

Parks had no choice but to comply with the catalogue-takedown request, but he did face other decisions. Not only was winning back Swift now a goal, but Spotify's executives would also have to assess the probability of a domino effect in which Swift's takedown request would lead to other artists defecting from the service, and react accordingly.

Were Parks and his team members right to hold on to their policy to not allow artists and their labels to differentiate release strategies by geography and subscription tier, even when dealing with a

superstar artist like Swift? Or was it time to reconsider Spotify's insistence on offering the same assortment across countries and not allowing artists to only target premium tiers?

Perhaps more pressing, as it was only a matter of time before the news would be common knowledge among both music-industry insiders and fans, how should Spotify respond to Swift and Big Machine Records' takedown request in the public domain?

Exhibit 1a The Music Industry Worldwide: Recorded Music Revenues in 2014 (Estimated)

Source	Revenues	Share
Physical Revenues	\$6.85 billion	46%
Digital Revenues	\$6.85 billion	46%
Performance Rights	\$890 million	6%
Synchronization Revenues	\$300 million	2%
Total	\$15 billion	100%

Source: Adapted from International Federation of the Phonographic Industry (IFPI).⁴²

Exhibit 1b The Music Industry Worldwide: Digital Revenues (2008-2014, in \$ billions)

Source	2008	2009	2010	2011	2012	2013	2014(E)
Digital Revenues	4.0	4.4	4.6	5.1	5.6	5.9	6.9

Source: Adapted from IFPI.

Exhibit 1c The Music Industry Worldwide: A Breakdown of Digital Revenues (2008 versus 2013)

Source	2008	2013
Downloads	64%	67%
Mobile	26%	5%
Subscriptions	6%	19%
Ad-supported Streams	3%	8%
Other	1%	1%

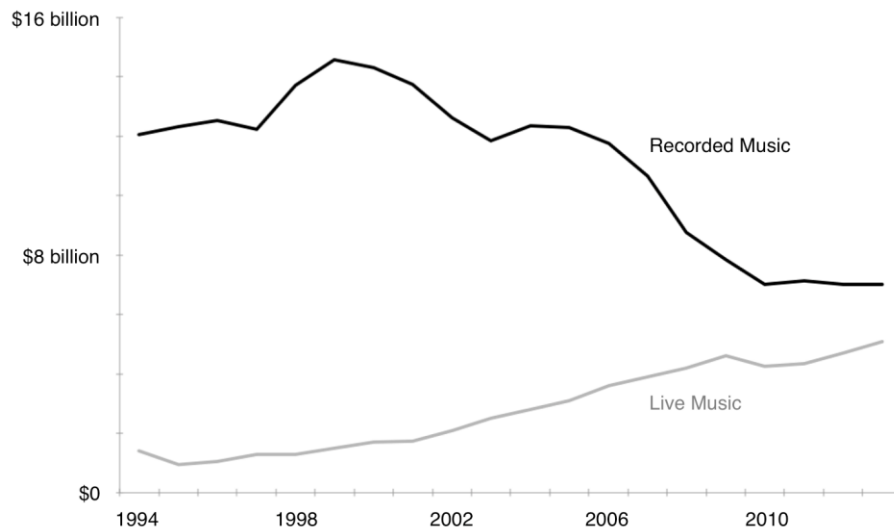
Source: Adapted from IFPI.

Exhibit 1d The Music Industry Worldwide: Usage of Download versus Subscription Services

Source	% of Internet Users in...					
	USA	France	Germany	Italy	Sweden	UK
Downloads	27%	9%	21%	15%	7%	33%
Subscriptions	23%	36%	12%	32%	47%	22%

Source: Adapted from IFPI, Ipsos MediaCT.

Notes: The entries represent the percentage of Internet using music subscriptions (including free versions) or download services in the past six months, by country. Data were collected in 2014.

Exhibit 1e The Music Industry in the U.S.: Recorded versus Live Music

Source: Adapted from Recording Industry Association of America (RIAA) and Pollstar.

Notes: Recorded-music revenues include physical sales (from CDs, Singles, and other formats) as well as digital sales, and cover the U.S.; live music revenues cover ticket sales in North America.

Exhibit 1f Records Labels: Market Shares in the U.S. (Year To Date, as of October 26, 2014)

	Albums	Singles
Sony Music Entertainment	27.8%	21.7%
Universal Music Group	38.7%	51.5%
Warner Music Group	15.6%	13.1%
Other Labels	17.8%	13.4%

Source: Adapted from Nielsen SoundScan.

Exhibit 2a Recorded-Music Revenues in the U.S. by Format (2010-2013, in \$ millions)

Format	2010	2011	2012	2013
CD	3,389	3,101	2,486	2,124
CD Single	3	4	3	2
Download Single	1,336	1,522	1,624	1,568
Download Album	872	1,071	1,205	1,232
Paid Subscriptions	249	292	462	590
On-Demand Streaming (Ad Supported)	212	248	400	693

Source: Adapted from RIAA.

Notes: 'Paid Subscriptions' includes streaming, tethered, and other paid subscription services. 'On-Demand Streaming' includes ad-supported audio and music video services.

Exhibit 2b Recorded-Music Revenues in the U.S. by Format (2013 versus 2014, in \$ millions)

Category	Format	First Half, 2013	First Half, 2014
Digital Permanent Download	Download Single	842	753
	Download Album	631	544
	Kiosk	4	1
	Music Video	9	7
	Ringtones & Ringback	55	40
Digital Subscription & Streaming	SoundExchange Distributions	267	323
	Paid Subscription	301	371
	On-Demand Streaming (Ad-Supported)	105	165
TOTAL DIGITAL VALUE		2,214	2,203
Physical	CD	884	716
	CD Single	1	3
	LP/EP	102	146
	Vinyl Single	2	4
	Music Video	50	29
	Other	1	1
TOTAL PHYSICAL VALUE		1,040	898
Synchronization Royalties		99	88
TOTAL VALUE		3,352	3,190

Source: Adapted from RIAA, "Mid-Year Industry Shipment and Revenue Statistics." 2014.

Notes: In the 'Digital Subscription and Streaming' category, 'SoundExchange Distributions' refers to revenues from streaming radio services such as Pandora and other Internet radio, 'Paid Subscription' refers to revenues from services such as Rhapsody and the paid version of Spotify, and 'On-Demand Streaming' refers to non-subscription services such as YouTube, Vevo, and the free (ad-supported) version of Spotify.

Exhibit 3a Spotify: Key Financial Information

	2012	2013	% Change
Subscription Revenues	€375 million	€679 million	81%
Advertising Revenues	€55 million	€68 million	24%
Total Revenues	€430 million	€747 million	74%
Operating Result	-€80 million	-€93 million	-16%

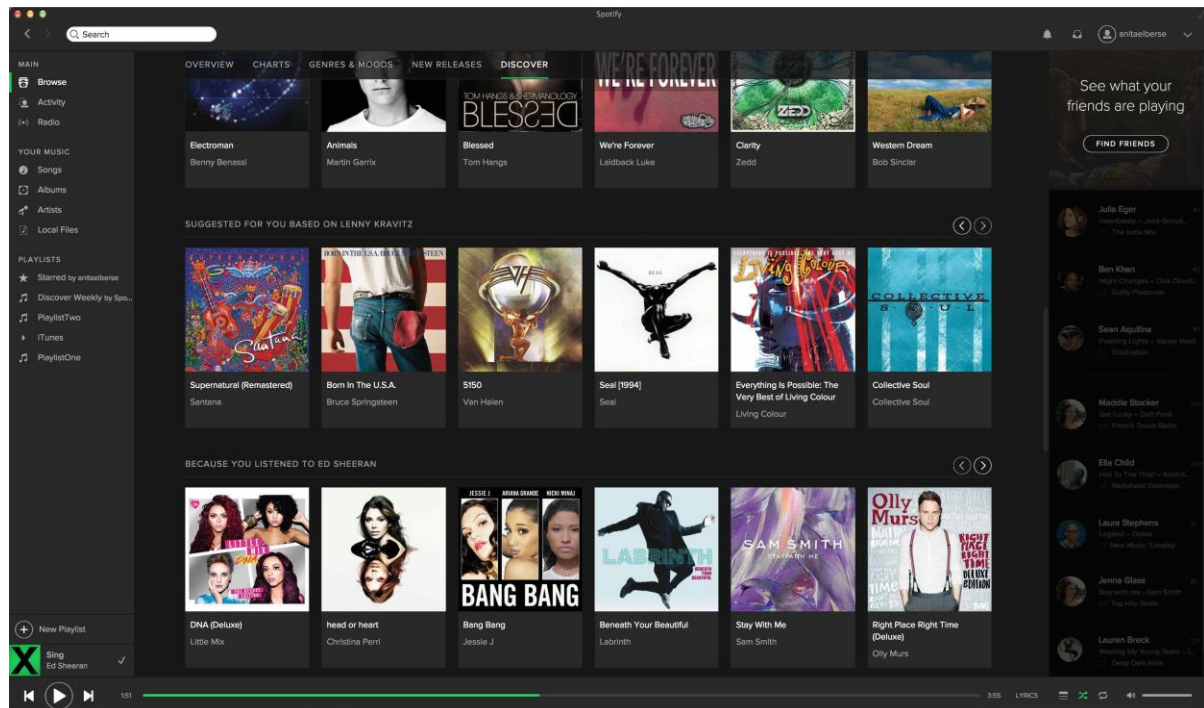
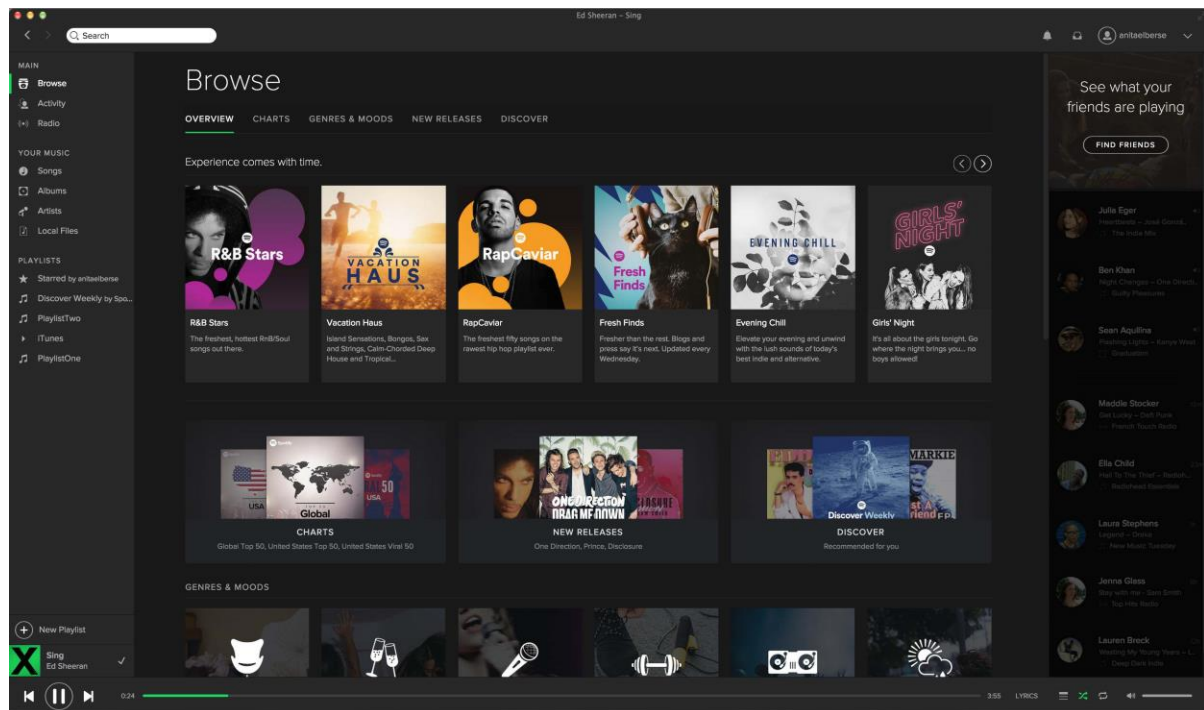
Source: Spotify.com, The Guardian.⁴³

Exhibit 3b Spotify: Trends in the User Base (in Millions of Users)

	Q1 2012	Q4 2012	Q1 2013	Q4 2013	Q2 2014	Q3 2014
Monthly Active Users	--	20	24	36	40	50
Premium Subscribers	3	5	6	8	10	12.5

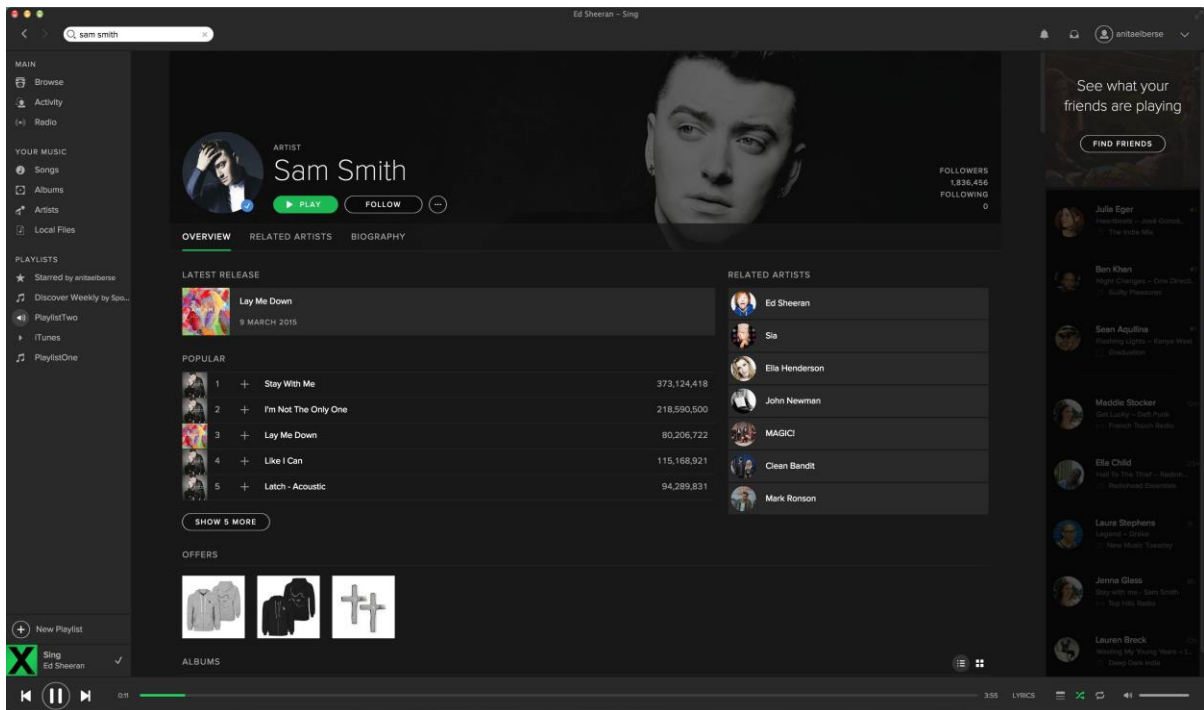
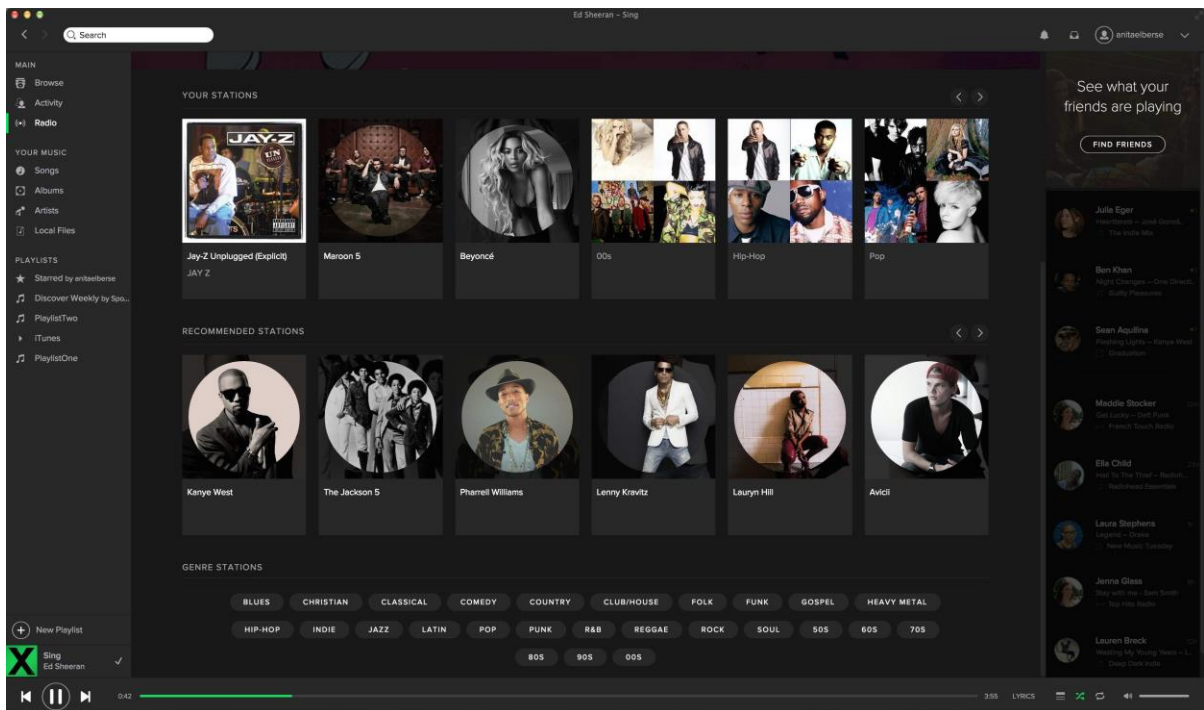
Source: Spotify.com, Billboard, Paste Magazine, Rolling Stone, and TechCrunch.com.⁴⁴

Exhibit 4a Spotify: Select Impressions of the Desktop Version



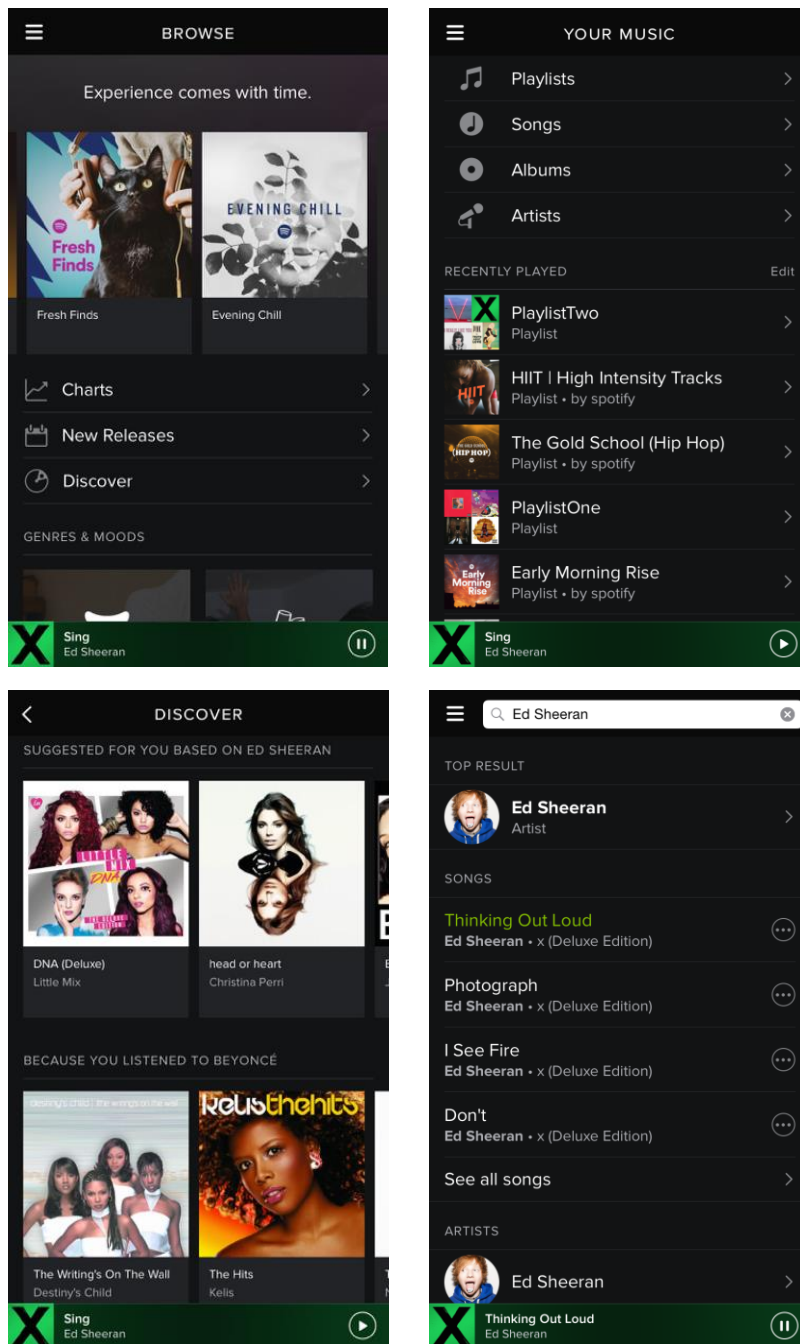
Source: Spotify.

Exhibit 4a (Continued)



Source: Spotify.

Exhibit 4b Spotify: Select Impressions of the Mobile Version



Source: Spotify.

Exhibit 5a Taylor Swift: Album Sales (as of late October 2014)

Studio Album	Release Date	U.S. Sales	Worldwide Sales
Taylor Swift	October 24, 2006	5,500,000	6,000,000
Fearless	November 11, 2008	6,900,000	8,700,000
Speak Now	October 25, 2010	4,400,000	5,500,000
Red	October 22, 2012	4,100,000	6,000,000

Source: Adapted from Big Machine Records press releases, Nielsen SoundScan, and case writer estimates.

Exhibit 5b Taylor Swift: Album Sales by Format and Channel (as of late October 2014)

Format and Channel	<i>Taylor Swift</i>	<i>Fearless</i>	<i>Speak Now</i>	<i>Red</i>
Chain	13%	16%	11%	6%
Independent	0%	1%	1%	1%
Mass Merchant	74%	64%	58%	49%
Non-Traditional	3%	5%	10%	15%
Digital	10%	14%	20%	29%
Total Album Sales	5,500,000	6,900,000	4,400,000	4,100,000
Total Digital Track Sales	13,100,000	19,800,000	13,300,000	16,200,000

Source: Adapted from Nielsen SoundScan. 'Mass Merchants' include Target and Walmart; 'Non-Traditional' sellers include Amazon, Starbucks, and concert venues.

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